Monarch Casino & Resort (: MCRI)

Q3 2026 Earnings — Analyst Brief · Released 27 Oct 2026 (after market close) · Currency USD (tables in $ millions unless stated)

Shares gapped ~7% lower at the 28-Oct open ($107.31 vs a $115.28 prior close), traded below the $112.27 200-day average, and recovered through the session to close ~2.6% down at ~$112.3 (closing level per secondary sources).

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THE ONE-LINE VERDICT

A record but decelerating quarter: net revenue +2.4% to $146.3m and adj. EBITDA +2.1% to $56.0m were both Q3 records, yet both missed the Street (~$148m revenue; EPS $1.76 vs ~$1.86) and growth slowed sharply from H1's +6.4%/+10.3%. The 38.3% margin held, net cash rose to $137.4m with zero debt and $42m went back to holders in the quarter — but with organic growth converging on low single digits, the equity now hinges on Q4 seasonality, the pending ~$75m PCL appeal, and whether the Farahis finally deploy the balance sheet beyond buybacks.

NET REVENUE (Q3 RECORD)	ADJ. EBITDA (NON-GAAP)	DILUTED EPS (GAAP)	NET INCOME (GAAP)	NET CASH (NO DEBT)	CAPITAL RETURNED IN Q3
$146.3m	**$56.0m**	**$1.76**	**$32.0m**	**$137.4m**	**$42.3m**
+2.4% YoY; vs ~$148.0m consensus	+2.1% YoY; margin 38.3% (-11bps)	+4.1% YoY; cons. $1.84–1.91	+1.4% YoY; ETR 24.0% vs 18.5%	+$40.9m YTD after $70.9m returned	$37.0m buyback + $5.3m dividend

1 EXECUTIVE SUMMARY

- **Record print, Street miss.** Q3-26 net revenue +2.4% YoY to a record $146.3m vs ~$148.0m consensus (-1.2%); GAAP diluted EPS $1.76 (+4.1%) vs a $1.84–1.91 consensus range (MarketBeat $1.86; Zacks $1.91; S&P $1.84); adj. EBITDA $56.0m (+2.1%) was flagged by secondary sources as marginally below estimates. Shares gapped ~7% lower at the open and closed ~2.6% down.
- **Sharp deceleration versus H1.** Implied H1-26 net revenue was +6.4% and adj. EBITDA +10.3%; Q3 slowed to +2.4%/+2.1%. Hotel went from +13.2% (H1) to +0.9%, casino from +5.8% to +3.4%, F&B from +4.3% to +1.3% — the Atlantis room-count/convention tailwind of H1 has been lapped and 2025's +3.6% Q3 comp was itself a record.
- **No formal guidance, so the 'bridge' is consensus-to-actual.** Monarch does not guide. The ~$1.7m revenue shortfall sits in near-flat hotel and F&B; on EPS the effective tax rate (24.0% vs 18.5%) cost ~$2.3m / ~$0.13 — at the prior-year ETR EPS would have been ~$1.89, i.e. above consensus. There is no divisional attribution because the company reports a single segment.
- **Margin held near record.** Adj. EBITDA margin 38.3% (-11bps YoY, +115bps QoQ); casino opex ratio flat at 35.8% of casino revenue; F&B 69.6% (-33bps, higher revenue per cover); hotel 31.3% (-10bps, higher ADR, lower cost per occupied room). SG&A was the only line to de-lever: +5.4% to $29.0m, 19.8% of revenue (+56bps) on legal and employee costs.
- **EPS quality: a D&A tailwind and a tax headwind.** D&A fell 23% to $10.8m (-$3.2m), lifting GAAP operating income +8.1% to $41.3m (28.2% margin, +149bps) — a non-cash roll-off, not operating leverage. Pre-tax +8.7%, but net income only +1.4% as the ETR normalised; 9M ETR is flat at 21.3%, so the Q3 distortion is timing of option-exercise tax benefits.
- **Buybacks did the per-share work.** Diluted shares -3.1% YoY to 18.15m turned +1.4% net income into +4.1% EPS. Q3 repurchases: 300,859 shares for $37.0m (~$123 average — above the ~$112 post-print price); 9M: ~482k shares for $54.9m (~$114 avg). 670,644 shares (~3.8% of 17.64m outstanding, ~$75m) remain under the 3.0m-share authorisation.
- **Dividend maintained.** $0.30/share declared (record 1 Dec, payable 15 Dec 2026), part of the $1.20 annual programme (~1.1% yield); $5.3m paid in Q3, $16.0m in 9M.
- **Balance sheet: $137.4m net cash, revolver undrawn.** Cash rose $40.9m YTD even after $70.9m of buybacks and dividends; 9M operating cash flow $130.0m (+2.7%), capex $19.6m (-35%), FCF (OCF less capex) $110.4m (+14.7%), ~$6.06 per diluted share. Capital returned = 64% of 9M FCF.
- **Capex is running at ~0.6x D&A — and includes a land purchase.** Q3 capex $9.7m covered maintenance, new slot product at both properties and land with a building adjacent to Atlantis (balance-sheet land +$2.2m YTD to $36.9m). No project announced; it reads as a master-plan option on the Reno site. Annualised D&A ~$43m vs ~$26m annualised capex flatters FCF and will need to normalise.
- **PCL litigation remains the overhang.** A $74,627,657 judgment for PCL Construction (Denver District Court, Case 2019cv33368) over the Black Hawk build is under appeal at the Colorado Court of Appeals; PCL has post-judgment motions for 'further release'. Post-judgment interest of $1.1m was accrued in Q3 ($3.3m 9M, ~$4.5m/yr run-rate) and excluded from adj. EBITDA. Construction payables of $47.5m are already carried on the balance sheet.
- **Adj. EBITDA add-backs are growing.** Non-D&A/tax/interest add-backs were $3.9m in Q3 vs $2.6m: stock-based comp $2.6m (+26%, 1.8% of revenue), PCL judgment interest $1.1m, litigation fees $0.2m. We treat the PCL interest as a real economic cost; 'clean' EBITDA growth is closer to +0.5%.
- **Cost base (9M, CODM view): labor is the only lever being pulled.** Labor $120.6m (+2.5%; 28.4% of revenue, -70bps), cost of sales $34.2m (+3.2%), gaming tax & licence $63.2m (+5.1%; 14.8% of revenue), other opex $56.2m (+6.0%). Tax & licence and other opex are growing faster than revenue; the gaming-tax drift is consistent with mix shifting toward Colorado's graduated (up to 20%) regime from Nevada's 6.75%.
- **Segment disclosure is thin.** Atlantis (Reno) and Monarch Black Hawk are two operating segments aggregated into one reportable segment under ASC 280; the CEO is the CODM and allocates on consolidated net income. No property-level revenue, EBITDA, handle, hold, occupancy or ADR is disclosed. The Q1-26 release claimed YoY market-share gains at both properties; the Q3 release is silent on share — a notable omission.
- **M&A rhetoric unchanged, action absent.** Management 'continues to diligently evaluate potential M&A transactions' — the same language for several quarters. With $137m cash, an undrawn facility and ~$210m annualised EBITDA, there is capacity for a meaningful acquisition; insiders (~26%) have not used it. Capital allocation remains the central debate.
- **Explicitly anti-iGaming.** $181k of 9M lobbying expense to oppose iGaming expansion (added back) confirms Monarch is a land-based

defender; Colorado/Nevada online casino legislation is a structural thesis risk the company is actively fighting rather than hedging.

- **Related-party footprint persists.** Parking-lot and driveway leases with Biggest Little Investments (Farahi-family partnership) adjacent to Atlantis; weighted remaining lease term 15.3 years, $1.2m cash lease payments in 9M. Governance point rather than a financial one.
- **Valuation framing (estimates).** At ~$112: market cap ~$2.0bn, EV ~$1.84bn, ~8.8x annualised 9M adj. EBITDA, ~7% FCF yield on annualised 9M FCF (a capex-light year). The multiple already discounts low-single-digit growth; re-rating requires a capital-deployment catalyst or PCL resolution.
- **Thesis read-through.** Q3 confirms a mature, debt-free, ~38%-margin two-asset operator whose organic growth has converged to GDP-like rates. The bull case rests on cash conversion plus buybacks (EPS +21% 9M) and optionality on M&A/Atlantis land; the bear case is that the record-margin era is fully priced, growth has rolled over, and a ~$75m legal cash call sits unresolved.

2 GROUP FINANCIAL SUMMARY

US $M (SINGLE REPORTABLE SEGMENT)	Q3-26	QOQ	YOY	9M-26	9M YOY
REVENUE BY PROPERTY SEGMENT					
Atlantis (Reno) + Monarch Black Hawk (aggregated) Property-level P&L not disclosed; QoQ vs derived Q2-26 $142.6m (9M less Q1 less Q3).	146.3	+2.5%	+2.4%	425.4	+5.0%
REVENUE BY PRODUCT					
Casino	82.8	n/a	+3.4%	244.1	+4.9%
Food & beverage	34.3	n/a	+1.3%	99.1	+3.2%
Hotel	22.7	n/a	+0.9%	63.2	+8.4%
Other	6.5	n/a	+2.0%	18.9	+4.3%
Net revenue	**146.3**	**+2.5%**	**+2.4%**	**425.4**	**+5.0%**
PROFITABILITY					
Adj. EBITDA (non-GAAP, company definition) **Adds back SBC, PCL judgment interest, litigation fees, iGaming lobbying, asset disposals.**	**56.0**	**+5.7%**	**+2.1%**	**158.0**	**+7.3%**
Adj. EBITDA margin	38.3%	+115bps	-11bps	37.1%	+78bps
SG&A	29.0	n/a	+5.4%	85.3	+4.7%
SG&A % of net revenue	19.8%	n/a	+56bps	20.1%	-6bps
Depreciation & amortisation	10.8	n/a	-23.1%	31.9	-21.8%
Other operating items, net (PCL interest, litigation)	1.3	n/a	+141%	4.5	+129%
Operating income (GAAP)	41.3	n/a	+8.1%	114.8	+16.7%
Operating margin	28.2%	n/a	+149bps	27.0%	+271bps
Effective tax rate	24.0%	n/a	+548bps	21.3%	-2bps
Net income (GAAP)	**32.0**	**-1.6%**	**+1.4%**	**92.1**	**+17.4%**
Diluted EPS (GAAP) **QoQ vs Q2-26 $1.78 (secondary source). Company does not report an adjusted EPS.**	**$1.76**	**-1.1%**	**+4.1%**	**$5.06**	**+21.1%**
Basic EPS (GAAP)	$1.80	n/a	+4.0%	$5.17	+21.1%
Diluted shares (m)	18.15	n/a	-3.1%	18.22	-2.9%
GROUP KPIS					
Avg monthly players / ARPU Not disclosed by the company.	n/a	n/a	n/a	n/a	n/a
Slot handle / table drop / hold	n/a	n/a	n/a	n/a	n/a
Shares outstanding, period end (m)	17.64	n/a	n/a	17.64	-1.0% YTD
CASH FLOW & CAPITAL					
Operating cash flow Only 9M cash flow is disclosed in the 10-Q.	n/a	n/a	n/a	130.0	+2.7%
Capex	9.7	n/a	n/a	19.6	-35.4%
Free cash flow (OCF less capex, analyst calc.)	n/a	n/a	n/a	110.4	+14.7%
Share repurchases	37.0	n/a	n/a	54.9	+75.3%
Dividends paid	5.3	n/a	n/a	16.0	-3.1%
Cash & equivalents (period end)	137.4	n/a	n/a	137.4	vs 96.5 at Dec-25
Borrowings	0.0	—	—	0.0	Revolver undrawn
Net cash / leverage	**137.4 net cash**	**n/a**	**n/a**	**0.0x**	**Net cash position**

3 SEGMENT DEEP-DIVE — CONSOLIDATED CASINO RESORTS — REVENUE STREAMS (CASINO / F&B / HOTEL / OTHER)

Casino carried the quarter (+3.4%) while hotel and F&B growth stalled as the Atlantis room-count comp normalised; departmental cost ratios were stable to slightly better.

NET REVENUE AND MIX

Net revenue rose 2.4% to $146.3m with all four lines growing slowly, a clear step-down from implied H1 growth of +6.4%.

- Net revenue +2.4% year-on-year and +2.5% on the derived Q2-26 base of $142.6m.
- Casino +3.4% to $82.8m (56.6% of mix, +53bps); F&B +1.3% to $34.3m; hotel +0.9% to $22.7m; other +2.0% to $6.5m.
- Implied H1: net revenue +6.4%, casino +5.8%, F&B +4.3%, hotel +13.2%; hotel explains most of the change as Atlantis room additions and group business were lapped.
- Q3-25 comparison was itself a record (+3.6%).
- No slot handle, table drop, hold, occupancy or ADR figures; only that ADR rose and revenue per cover improved, so casino win-rate versus volume is unknown.

CASINO DEPARTMENT

Casino departmental profit was $53.2m (+3.3%) at a 64.2% margin on an unchanged 35.8% cost ratio; no market-share claim was made this quarter.

- Nine-month casino revenue +4.9% to $244.1m with cost ratio 62bps better at 35.8%.
- Gaming tax and licence +5.1% in 9M against revenue +4.9%, consistent with growth skewing to Black Hawk (Colorado tax tops out at 20% versus Nevada's 6.75%) — analyst inference.
- Q3 capex included new gaming equipment at both properties, the only product-refresh datapoint.
- Q1-26 release claimed share gains at both Atlantis and Monarch Black Hawk; the Q3 release makes no market-share claim, which we read as share at best flat.
- Colorado Division of Gaming Black Hawk AGP and Nevada GCB Washoe County data are the checks; not accessed for this note.

F&B AND HOTEL

F&B profit rose 2.4% to $10.4m and hotel profit 1.0% to $15.6m, but the hotel growth phase from room additions looks over for now.

- F&B +1.3% to $34.3m, cost ratio improved 33bps to 69.6% on higher revenue per cover; 30.4% margin. 9M F&B +3.2% with cost ratio 26bps worse at 71.7%.
- Hotel $22.7m (+0.9%), cost ratio 31.3% (-10bps) on higher ADR and lower cost per occupied room; 68.7% margin.
- 9M hotel +8.4% to $63.2m, cost ratio 119bps better at 33.0%, departmental profit +10.4%.
- 1,333 rooms (817 Atlantis, 516 Black Hawk); without occupancy or RevPAR disclosure we cannot tell if +0.9% was rate-led with softer occupancy or a tough comp.

SG&A, EBITDA AND EPS

Adj. EBITDA of $56.0m held a 38.3% margin, and EPS of $1.76 (+4.1%) would have been ~$1.89 at last year's tax rate — the key point on the 'miss'.

- SG&A +5.4% to $29.0m (19.8% of revenue, +56bps) on legal and employee costs; ~$0.5m of the $1.5m rise is stock-based compensation ($2.6m, +26%), which is added back.
- PCL-related legal costs sit in 'other operating items', so the SG&A legal increase is incremental to the litigation line.
- Adj. EBITDA margin 38.3%, 11bps below last year's Q3 record and 115bps above Q2.
- D&A fell $3.2m (-23%) to $10.8m, lifting operating income 8.1% to $41.3m (28.2% margin, +149bps).
- ETR jumped to 24.0% from 18.5% (prior-year option-exercise benefits); net income +1.4% to $32.0m; 3.1% lower share count gave EPS $1.76. At prior ETR, net income ~$34.3m, EPS ~$1.89, above consensus.

Q4 OUTLOOK

No segment guidance; on seasonality we pencil Q4-26E net revenue ~$133–138m and adj. EBITDA ~$47–50m (35–36% margin).

- Adj. EBITDA margin ran 35.9% in Q1-26, 37.2% in Q2 and 38.3% in Q3, so Q4 should step down on revenue and margin.
- Winter weather in Black Hawk is the usual swing factor.
- These are our estimates, not company guidance; the Q4-25 base is not disclosed in documents reviewed.

US $M	Q3-26	QOQ	YOY	9M-26	9M YOY
REVENUE					
Casino	82.8	n/a	+3.4%	244.1	+4.9%
Food & beverage	34.3	n/a	+1.3%	99.1	+3.2%
Hotel	22.7	n/a	+0.9%	63.2	+8.4%
Other	6.5	n/a	+2.0%	18.9	+4.3%
Net revenue	**146.3**	**+2.5%**	**+2.4%**	**425.4**	**+5.0%**
Implied H1-26 growth (for reference)	—	—	—	H1: +6.4%	Casino +5.8% / F&B +4.3% / Hotel +13.2%
MIX (% OF NET REVENUE)					
Casino	56.6%	n/a	+53bps	57.4%	-3bps
Food & beverage	23.4%	n/a	-27bps	23.3%	-40bps
Hotel	15.5%	n/a	-24bps	14.9%	+47bps
DEPARTMENTAL EXPENSE RATIOS (% OF OWN REVENUE)					
Casino opex / casino revenue	35.8%	n/a	+2bps	35.8%	-62bps
F&B opex / F&B revenue	69.6%	n/a	-33bps	71.7%	+26bps
Hotel opex / hotel revenue	31.3%	n/a	-10bps	33.0%	-119bps
Other opex / other revenue	50.3%	n/a	+109bps	50.7%	-43bps
DEPARTMENTAL PROFIT (REVENUE LESS DIRECT OPEX, ANALYST CALC.)					
Casino (margin 64.2%)	53.2	n/a	+3.3%	156.8	+6.0%
Food & beverage (margin 30.4%)	10.4	n/a	+2.4%	28.1	+2.3%
Hotel (margin 68.7%)	15.6	n/a	+1.0%	42.4	+10.4%
Other (margin 49.7%)	3.2	n/a	-0.2%	9.3	+5.2%
SG&A	29.0	n/a	+5.4%	85.3	+4.7%
Adj. EBITDA	**56.0**	**+5.7%**	**+2.1%**	**158.0**	**+7.3%**
Adj. EBITDA margin	38.3%	+115bps	-11bps	37.1%	+78bps
OPERATING KPIS					
Slot handle / table drop / hold %	n/a	n/a	n/a	n/a	Not disclosed
Hotel occupancy / ADR / RevPAR	n/a	n/a	n/a	n/a	ADR 'increased' — no figure
Market share (Reno / Black Hawk)	n/a	n/a	n/a	n/a	Q1-26: 'increased' at both; Q3 silent
Rooms (Atlantis / Black Hawk)	817 / 516	—	—	1,333 total	—

4 SEGMENT DEEP-DIVE — COST BASE, CASH FLOW & CAPITAL ALLOCATION (SINGLE REPORTABLE SEGMENT — CODM EXPENSE VIEW)

Labor leverage and a $3.2m D&A step-down did the heavy lifting; 9M FCF of $110m (+15%) funded $71m of capital returns while cash still rose $41m — but add-backs are growing and the PCL judgment is unresolved.

COST BASE

Labor was the only major line leveraged (28.4% of revenue, -70bps); other opex and gaming taxes grew faster than revenue, so margins depend on wage discipline.

- 9M labor +2.5% to $120.6m; cost of sales +3.2% to $34.2m (8.0%, -15bps); gaming tax and licence +5.1% to $63.2m (14.8%, flat); other opex +6.0% to $56.2m (13.2%, +12bps).
- Total expenses including tax and interest +2.0% to $333.3m against revenue +5.0%; 9M net margin 21.7% from 19.4%.
- No formal cost-transformation programme with a dollar target or target year; prior efficiency narrative was marketing efficiency and technology.
- Two properties in tight labor markets make wage discipline the whole margin story.

> *"maintaining operational efficiency"* — **Management**

EBITDA ADD-BACKS

Q3 add-backs grew to $3.9m from $2.6m; treating PCL interest as recurring, 'clean' EBITDA grew closer to +0.5% than reported +2.1%.

- Add-backs: stock-based compensation $2.6m (+26%, 1.8% of revenue vs 1.5%), $1.1m accrued PCL post-judgment interest, $0.2m construction-litigation fees, trivial iGaming lobbying.
- PCL interest is ~$4.5m annualised while the appeal is pending.
- D&A decline (-$3.2m Q3, -$8.9m 9M) reflects expansion-era furniture and equipment reaching end of useful lives (analyst inference); a GAAP tailwind for several quarters.
- 9M capex of $19.6m runs at ~0.6x D&A of $31.9m, flattering free cash flow until the refresh cycle returns.

CASH FLOW AND BALANCE SHEET

9M FCF of $110.4m (+14.7%, ~$6.06 per diluted share) funded $71m of capital returns while cash still rose $40.9m to $137.4m.

- 9M operating cash flow $130.0m, +2.7% against adj. EBITDA +7.3%; working capital absorbed cash (accrued expenses -$4.8m, receivables -$1.9m, inventories -$1.1m, prepaids -$1.3m) and cash taxes rose.
- Capex $19.6m vs $30.4m.
- Financing: $54.9m buybacks, $16.0m dividends, $7.4m payroll taxes on net option exercises, offset by $11.3m option proceeds.
- Lease liabilities $12.6m (BLI partnership parking-lot and driveway leases, 15.3-year term, 4.34% incremental borrowing rate).
- Total assets $736.1m, equity $569.5m; no debt, credit facility undrawn.

CAPITAL RETURNS AND VALUATION

Q3 buyback of 300,859 shares for $37.0m averaged ~$123, above the ~$112 post-print price; 670,644 shares (~3.8%) remain authorised.

- 9M average ~$114 on ~482k shares; shares outstanding -1.0% YTD to 17.64m as the gross 2.7% buyback was partly offset by option exercises.
- Remaining authorisation ~$75m at current prices, roughly two quarters at the Q3 pace; $0.30 quarterly dividend maintained.
- At ~$112, market cap ~$2.0bn, EV ~$1.84bn: ~8.8x annualised 9M adj. EBITDA and ~7% FCF yield (our estimates, flattered by light capex).
- With debt capacity in the high hundreds of millions, the absence of a deal is a choice rather than a constraint.

> *"continues to diligently evaluate potential M&A transactions"* — **Management**

PCL LITIGATION

The $74,627,657 PCL judgment on appeal is a cash and sentiment event rather than a solvency one.

- Denver District Court Case 2019cv33368 over the Monarch Black Hawk build; on appeal to the Colorado Court of Appeals; PCL pursuing post-judgment motions for further release of funds.
- Company flags potential need to post additional bonds or surety.
- Construction accounts payable $47.5m (from $50.2m at December) largely relate to disputed PCL amounts per prior filings (analyst reading).
- Adverse outcome implies roughly $27m incremental cash plus accrued interest, comfortably covered by cash; favourable outcome releases working capital and ends the ~$1.1m quarterly interest accrual.

US $M (9M, CODM EXPENSE CATEGORIES PER 10-Q)	9M-26	9M-25	YOY	% OF REV 9M-26	% OF REV 9M-25
Net revenue	**425.4**	**405.1**	**+5.0%**	**100.0%**	**100.0%**
CODM EXPENSE CATEGORIES					
Labor	120.6	117.7	+2.5%	28.4%	29.1%
Cost of sales	34.2	33.2	+3.2%	8.0%	8.2%
Tax & licence (gaming, commerce, use, property)	63.2	60.1	+5.1%	14.8%	14.8%
Other operating expense	56.2	53.0	+6.0%	13.2%	13.1%
Depreciation & amortisation	31.9	40.8	-21.8%	7.5%	10.1%
Other operating items, net (PCL interest, litigation, lobbying)	4.5	2.0	+129%	1.1%	0.5%
Interest income, net	(2.2)	(1.3)	+69%	—	—
Income tax (ETR)	24.9	21.2	+17.3%	ETR 21.3%	ETR 21.3%
Total expenses	333.3	326.7	+2.0%	78.3%	80.6%
Net income	**92.1**	**78.4**	**+17.4%**	**21.7%**	**19.4%**
ADJ. EBITDA RECONCILIATION (Q3)					
Stock-based compensation (Q3)	2.6	2.1	+26.3%	1.8% (Q3)	1.5% (Q3)
PCL judgment interest accrual (Q3)	1.1	0.0	n/m	—	—
Construction litigation fees (Q3)	0.2	0.5	-71%	—	—
CASH FLOW					
Operating cash flow	130.0	126.6	+2.7%	30.6%	31.3%
Capex	19.6	30.4	-35.4%	4.6%	7.5%
FCF (OCF less capex, analyst calc.)	**110.4**	**96.2**	**+14.7%**	**26.0%**	**23.7%**
Share repurchases	54.9	31.3	+75.3%	—	—
Dividends paid	16.0	16.5	-3.1%	—	—
Capital returned as % of FCF	64%	50%	—	—	—
BALANCE SHEET					
Cash & equivalents (Sep-26 vs Dec-25)	137.4	96.5	+$40.9m	—	—
Borrowings	0.0	0.0	—	—	—
Construction accounts payable (Sep-26 vs Dec-25)	47.5	50.2	-$2.7m	—	—
PCL judgment (principal, under appeal)	74.6	74.6	—	—	—
Buyback authorisation remaining (shares)	670,644	—	~3.8% of s/o	—	—

5 SEGMENT DEEP-DIVE — PROPERTY VIEW — ATLANTIS CASINO RESORT SPA (RENO, NV) AND MONARCH CASINO RESORT SPA BLACK HAWK (CO)

Two assets, one disclosure line: no property P&L, no market-share claim this quarter, and the live items are the Black Hawk litigation and the Atlantis land purchase.

SEGMENT DISCLOSURE AND FOOTPRINT

Two operating segments are aggregated into one reportable segment, with no property P&L; Q3 revenue of $146.3m spans ~2,300 slots and ~67 tables.

- Aggregated under ASC 280-10-50-11; CEO as CODM allocates on consolidated net income; $25.1m goodwill all at Black Hawk, no interim impairment indicators.
- Atlantis: 817 rooms, ~61,000 sq ft casino, ~1,200 slots and video poker, ~30 tables, race and sportsbook, keno, poker, eight food outlets, 30,000 sq ft spa, ~52,000 sq ft convention space.
- Black Hawk: 516 rooms, ~60,000 sq ft casino, ~1,100 slots, 37 tables, poker, keno, sportsbook, four restaurants, rooftop spa and pool, ~1,500 parking spaces.
- Per-unit win is not disclosed.

MARKET SHARE

The Q3 release drops the Q1-26 claim of share gains at both properties; we suspect the Atlantis room tailwind explains most of the deceleration.

- Black Hawk has taken share at the upper end of the Denver regional market on luxury positioning; Reno described by management as 'extremely competitive'.
- Hotel growth collapsed from +13.2% in H1 to +0.9%; attribution to Atlantis rather than Black Hawk is inference without property disclosure.
- Colorado Black Hawk adjusted gross proceeds and Nevada Washoe County win are external checks; not accessed, share recorded as n/a.

ATLANTIS LAND PURCHASE

Q3 capex included adjacent land with a building at Atlantis, a pattern resembling how the Black Hawk expansion began; investors should ask for a capital plan.

- Balance-sheet land +$2.2m YTD to $36.9m; construction in progress +$3.2m to $14.7m; plus new gaming equipment.
- Monarch already owns separate adjacent parcels and leases parking-lot and driveway land from Biggest Little Investments, the Farahi-family partnership owning the adjacent shopping centre.
- Nothing announced; assembling contiguous land while running capex at ~0.6x D&A suggests a Reno master plan as the obvious use of the $137m cash pile.
- Ask for a capital plan before the next 10-K.

BLACK HAWK OVERHANGS

The PCL judgment of $74,627,657 under appeal is the overhang, with $1.1m Q3 interest accrued ($3.3m 9M) excluded from adj. EBITDA.

- PCL has filed post-judgment motions for further release of funds.
- Colorado's graduated gaming tax reaches 20% against Nevada's 6.75% top rate, consistent with group tax and licence growing faster than revenue.
- $181k of 9M lobbying spend to oppose iGaming expansion shows defence of the land-based franchise rather than a digital option.

GUIDANCE AND DISCLOSURE GAPS

No property-level guidance; property EBITDA, slot handle and hold, occupancy, ADR and quarterly share are not provided.

- Management commits to 'technology and other strategic capital investments that enhance both properties'.
- The Q3 earnings call transcript was not accessible, so any property colour given on the call should be checked against the replay.

> *"the standard for luxury casino resorts in Northern Nevada and Colorado"* — **Management**

DISCLOSED PROPERTY FACTS (NO PROPERTY P&L REPORTED)	ATLANTIS (RENO, NV)	MONARCH BLACK HAWK (CO)	GROUP / COMMENT
Hotel rooms & suites	817	516	1,333
Casino floor (sq ft, approx.)	~61,000	~60,000	~121,000
Slot / video poker units (approx.)	~1,200	~1,100	~2,300
Table games (approx.)	~30	37	~67
Other amenities	Race & sportsbook, keno, poker, 8 food outlets, 30k sq ft spa, 52k sq ft convention	Sportsbook, keno, poker, 10 bars, 4 restaurants, rooftop spa/pool, ~1,500 parking	—
Q3-26 revenue / adj. EBITDA	n/a	n/a	$146.3m / $56.0m (consolidated only)
Market share (Q3-26)	n/a — Q1-26: 'increased YoY'	n/a — Q1-26: 'increased YoY'	Q3 release silent on share
Goodwill	—	$25.1m	$25.1m; no interim impairment
Q3-26 capex items	Land + building adjacent; new gaming equipment; maintenance	New gaming equipment; maintenance	$9.7m total (9M $19.6m)
Gaming tax regime	Nevada, 6.75% top rate	Colorado, graduated to 20%	9M tax & licence $63.2m (+5.1%)
Litigation	—	PCL judgment $74.6m; on appeal; $1.1m Q3 interest accrual	Construction AP $47.5m carried
Related-party items	Parking-lot & driveway leases with BLI (Farahi family); 15.3-yr remaining term	—	Lease liability $12.6m

6 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Record Q3 net revenue ($146.3m, +2.4%) and adj. EBITDA ($56.0m, +2.1%) with the margin at 38.3%, within 11bps of last year's record — a mature asset base still holding near-peak profitability. structural
- Casino revenue +3.4% to $82.8m on an unchanged 35.8% direct-cost ratio; departmental profit $53.2m at 64.2% — the core engine is intact and 9M casino profit is +6.0%. structural
- 9M FCF (OCF less capex) $110.4m (+14.7%), cash +$40.9m YTD to $137.4m after $70.9m of buybacks and dividends, zero debt and an undrawn revolver — balance sheet optionality is unmatched in the small-cap regional peer set. structural
- $37.0m buyback in the quarter (300,859 shares) took diluted shares down 3.1% YoY, converting +1.4% net income into +4.1% EPS; 9M diluted EPS +21.1% to $5.06. Dividend of $0.30 maintained. structural
- D&A -23% YoY (-$3.2m) lifted GAAP operating income +8.1% to $41.3m and the operating margin +149bps to 28.2% — a multi-quarter non-cash tailwind to reported EPS as expansion-era assets roll off. mixed
- Hotel and F&B cost ratios improved (31.3%, -10bps; 69.6%, -33bps) on higher ADR and revenue per cover, and 9M labor fell 70bps to 28.4% of revenue — pricing power and wage discipline are both still working. structural
- Q3 capex included land with a building adjacent to Atlantis — an early sign of a Reno master-plan option for the cash pile, with capex still running at only ~0.6x D&A. early

▼ LOWLIGHTS

- Miss on every headline line: revenue $146.3m vs ~$148.0m consensus (-1.2%), diluted EPS $1.76 vs $1.84–1.91, adj. EBITDA marginally below the Street; the stock gapped ~7% lower before closing ~2.6% down. watch
- Growth has rolled over: net revenue +6.4% and adj. EBITDA +10.3% in H1 became +2.4% and +2.1% in Q3; hotel slowed from +13.2% to +0.9% as the Atlantis room-count tailwind lapped. With no new capacity, the forward algorithm is low-single-digit organic growth. structural
- Effective tax rate 24.0% vs 18.5% (prior-year option-exercise benefit) cost ~$2.3m / ~$0.13 of EPS — a one-off versus the comp, but it means Q3-25's EPS base was flattered and the 'clean' EPS run-rate is ~$1.89 rather than $1.76 or $1.69. one-off
- SG&A +5.4% to $29.0m (19.8% of revenue, +56bps) on legal and employee costs, with stock-based comp +26% to $2.6m (1.8% of revenue) and total non-D&A add-backs up to $3.9m from $2.6m — adj. EBITDA quality is slipping at the margin. mixed
- PCL Construction's $74.6m judgment remains on appeal with ~$1.1m/quarter of post-judgment interest accruing (excluded from adj. EBITDA) and the risk of further bonding; construction payables of $47.5m have been frozen on the balance sheet for years. governance
- Capital allocation is still buybacks-only: Q3 repurchases averaged ~$123/share (above the current ~$112), the M&A language is unchanged boilerplate, and the Atlantis land buy comes with no plan — the ~$137m cash and undrawn facility remain unproductive. governance
- Disclosure gaps: no property-level P&L, no handle/hold or hotel KPIs, and the Q1-26 claim of share gains at both properties disappeared from the Q3 release; the call transcript was not accessible for this note. watch

7 FORECAST & OUTLOOK

Guidance bridge. Monarch issues no formal guidance, so the only bridge is Street-to-actual. Pre-print consensus of ~$148.0m net revenue and ~$1.86 diluted EPS (range $1.84–1.91 across MarketBeat, S&P and Zacks) became $146.3m and $1.76. The ~$1.7m revenue shortfall sits in near-flat hotel (+0.9%) and F&B (+1.3%) rather than casino (+3.4%); on EPS the normalised 24.0% tax rate versus 18.5% a year ago explains ~$0.13, so at the prior-year ETR EPS would have printed ~$1.89, above consensus. There is no divisional attribution — the company reports one segment — and management's qualitative outlook (property investment, buybacks and dividend, 'diligently evaluating' M&A) is unchanged from Q2.

CONSENSUS NET REVENUE (PRE-PRINT)	REPORTED NET REVENUE	CONSENSUS DILUTED EPS (PRE-PRINT)	REPORTED DILUTED EPS
~$148.0m	**$146.3m**	**~$1.86**	**$1.76**
MarketBeat $147.9m / S&P $148.0m	-$1.7m (-1.2%); hotel/F&B ~flat	Range $1.84–1.91	-$0.10; ~$0.13 of which is the ETR step-up

Independent view. Our independent view (all estimates, not company guidance). **Q4-26E net revenue ~$133–138m** — Q4 is seasonally the lightest quarter and the Q3 run-rate implies roughly flat to low-single-digit growth; the Q4-25 base is not in the documents reviewed, so we frame it on seasonality (Q1-26 was $136.5m). **Q4-26E adj. EBITDA ~$47–50m at a 35–36% margin**, below Q3's 38.3% on seasonal deleverage, with Black Hawk winter weather the swing factor. That gives **FY26E net revenue ~$558–563m (+~4–5%) and adj. EBITDA ~$205–208m (~36.8% margin vs 37.1% 9M)**. On EPS, 9M is $5.06; a Q4 with ~$48m EBITDA, ~$10.8m D&A, ~$1.3m litigation items, ~$2.6m SBC and a ~21.5% ETR on ~18.0m diluted shares yields ~$1.45–1.50, so **FY26E diluted EPS ~$6.50–6.55 (+~19%)**, with most of the growth from buybacks and the D&A roll-off rather than operations. **Leverage stays negative**: we expect cash to keep building toward ~$150m+ by year-end unless the buyback accelerates — 670,644 shares (~$75m) remain authorised, about two quarters at the Q3 pace, so a new authorisation is likely in Q1-27. Margin direction into 2027 is flat-to-slightly-down: labor leverage is being offset by gaming-tax mix drift toward Colorado and other opex growing ~6%, and the D&A tailwind fades as capex normalises toward the ~$43m annualised D&A. Swing factors: an adverse PCL appeal (gross ~$75m plus interest, roughly $27m incremental cash beyond the construction payables already carried — our reading), an Atlantis expansion announcement that would lift capex and reset FCF, and any M&A that finally uses the undrawn facility.

What to watch next quarter:

- Colorado Court of Appeals ruling on the $74.6m PCL judgment, any further release of bonded funds, and the quarterly interest accrual (~$1.1m) — the single largest cash and sentiment swing factor.
- Q4 seasonality and Black Hawk winter weather; cross-check share via Colorado Division of Gaming monthly Black Hawk AGP and Nevada GCB Washoe County win, given the Q3 release dropped the share-gain claim.
- Buyback pace against the 670,644 shares remaining and the likelihood of a new authorisation; average repurchase price versus market (Q3 ~$123 vs ~$112 now); secondary reports of a CEO share sale warrant a check of Form 4s.
- Capital deployment: any Atlantis master-plan disclosure following the adjacent land purchase, and whether the 'diligently evaluating M&A' language converts into a transaction using the undrawn facility.
- Cost lines growing faster than revenue — SG&A (legal, employee), SBC (+26%), other opex (+6%) and gaming tax & licence (+5.1%) — against the labor leverage that is currently carrying the margin.
- iGaming legislation in Colorado and Nevada (Monarch is actively lobbying against) and any regional supply additions in Reno or Black Hawk.
- Capex normalisation: 9M capex at ~0.6x D&A flatters FCF; watch the FY27 maintenance/refresh budget and the D&A trajectory as expansion assets fully depreciate.

DATA CONFIDENCE: MEDIUM Core P&L, balance sheet, cash flow, adj. EBITDA reconciliation, buyback and dividend figures are taken directly from the 8-K Ex. 99.1 press release and the Q3-26 Form 10-Q (primary) and cross-checked against the GlobeNewswire/Nasdaq reproductions, CDC Gaming and the AP snapshot — HIGH confidence on all reported numbers. MEDIUM overall because: (i) the Q3 earnings-call transcript was not accessible, so management colour on property trends, share and the PCL appeal is absent; (ii) property-level P&L, slot handle/hold, hotel occupancy/ADR and market share are not disclosed by the company (shown as n/a); (iii) Q2-26 figures used for QoQ (revenue ~$142.6m, adj. EBITDA ~$53.0m, net income ~$32.5m, EPS $1.78) are derived (9M less Q1 less Q3) from company releases and one secondary source; (iv) the Q4-25 base and FY25 totals were not in the documents reviewed, so Q4/FY estimates are framed on seasonality; (v) the 28-Oct close (~$112.3, -2.6%) and consensus ($147.9–148.0m revenue; $1.84–1.91 EPS) are from secondary sources; (vi) the link between the $47.5m construction payables and the PCL judgment is an analyst reading of prior filings, flagged as such. FX: the company reports in USD; no conversion required.

Sources: [Primary] Monarch Casino & Resort — Form 8-K Ex. 99.1, Q3 2026 results press release (27 Oct 2026) — P&L, balance sheet, adj. EBITDA reconciliation, buybacks, dividend, capex, liquidity; [Primary] Monarch Casino & Resort — Form 10-Q for the quarter ended 30 Sep 2026 — cash flow statement, segment note (single reportable segment), CODM expense table, PP&E, other operating items (PCL interest accrual), SBC, EPS, leases; [Primary] GlobeNewswire — company-issued Q3 2026 results release (duplicate of Ex. 99.1, used for cross-check); [Primary] Monarch Casino & Resort — Form 8-K Ex. 99.1, Q1 2026 results (Q1 revenue $136.5m, adj. EBITDA $48.95m, net income $27.6m; market-share-gain statement); [Secondary] Nasdaq.com reproduction of the Q3 2026 release (cross-check); [Secondary] Gaming Intelligence — 'Record third quarter for Monarch Casino & Resort' (user-supplied; paywalled beyond headline: net revenue +2.4% to $146.3m); [Secondary] Yogonet — 'Monarch Casino revenue rises to record $146.3 million in Q3 as profit reaches $32 million' (user-supplied; page not accessible, headline only); [Secondary] CDC Gaming — 'Monarch numbers slightly higher in third quarter' (27 Oct 2026) — colour, cross-check of headline figures; [Secondary] MarketBeat — 'Shares gap down on disappointing earnings' (28 Oct 2026) — prior close $115.28, open $107.31; [Secondary] MarketBeat — 'Shares cross below 200-day moving average' (28 Oct 2026) — EPS consensus $1.86, 200DMA $112.27, intraday low $107.31; [Secondary] Simply Wall St — 'MCRI misses estimates as record quarter keeps valuation in focus' — share price -2.6% on the day; [Secondary] Zacks via Yahoo Finance Canada — 'Monarch Casino (MCRI) Q3 Earnings and Revenues Miss Estimates' — Zacks EPS consensus $1.91; Q2-26 EPS $1.78 vs $1.75; [Secondary] StockStory via TradingView — 'Monarch misses Q3 2026 sales expectations' — S&P consensus revenue $148m, EPS $1.84; [Secondary] AP via Yahoo Finance — 'Monarch Casino: Q3 Earnings Snapshot' (cross-check of net income/EPS/revenue); [Secondary] Defense World — earnings preview (consensus revenue $147.93m / EPS $1.86; Q2-26 revenue $142.60m).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.